

3. *What fees are involved?* There are a number of fees that you may have to pay when you invest.

- **transaction fees:** the fee to buy a stock, e.g. \$3 for every transaction; some brokerages have 'fee free' trading, but hike up fees in other areas
- **expense ratios:** if you buy a fund, they'll have a percentage fee that the fund takes; this can range from 0.02 per cent up to 1 to 2 per cent if they're actively managed (it's important to note that a broker doesn't charge this, the fund does!)
- **front- and back-end fees:** fees the brokerage takes to help set up and close down your account
- **management fees:** some brokerages charge these
- **annual fees:** some brokerages charge you a membership to use their platform
- **fx fees:** if you're investing in the US share market but you need to convert your British pounds first (for example), brokerages usually charge a fee for this conversion, usually 0.2 to 1 per cent.

Fees matter but it ultimately depends on what you're going to invest in and how often you're going to invest. For example, someone investing \$50 a month is better off with a percentage-based fee than investing with a brokerage that takes a \$5 cut every time.

However, someone else who invests \$500 a month might be better off with the \$5 fee, as the percentage fee is now higher than \$5.

4. *How secure is the brokerage?* When you invest there is a risk that if your brokerage goes down, your investments can go down with them. (Though this is rare.) There are some long-term brokers who may be better suited to you if this risk is important to you. Make sure to check what:

- levels of security they offer
- their insurance policy is (are they promising to give you your money back if they go under?)
- their fraud policies are.